

Chapter Two

A diagram consisting of two rounded rectangular boxes. The top box is blue with the text 'Chapter Two' in white. A blue line extends from the bottom-left corner of this box, goes down, and then turns right to connect to the left side of a green box below it. The green box contains the text '2. Small Business Management' in white.

2. Small Business Management

2.1 Introduction

- Micro and Small Enterprises (MSE) is one of the institutions given recognition in the country's industry development plan.
- MSE is the fact that it serves as **vehicles** for **employment opportunities** both at urban center and rural areas reinforcing the economic development.
- MSE serves as sources for sustainable job opportunities **not only for developing countries but also for developed countries.**

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- ❖ These firms can be operated by **limited resources**, with fewer requirements of **sophisticated machinery and modern technology**.
- ❖ They can be established easily in urban, semi urban and rural areas where **the infrastructure is underdeveloped** with the objective of **using local raw materials and skills**.
- ❖ In any country they are acting as engine of growth through poverty and unemployment reductions.

2.2.1 Definition of Small Businesses

- Due to lack of uniform definition of MSE across the globe, most countries use and implement based on **legal meaning** of the sector.
- MSE definition is generally consisted **of three basic criteria**. These are:
 1. Full timer employed manpower /head count staff/.
 2. Total asset, net asset and paid capital
 3. Annual turnover and they use these criteria independently or in combination.

- In general the following points indicate experience of other countries.
 - All countries encompass the micro, small and medium enterprises definition and support framework.
 - The definition of the sector is viewed from the countries' economic status and level of growth.
 - In most countries definition of the sector is implemented uniformly and it has legal entity.

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- Manpower, total asset, net asset, paid capital and annual turnover serve as criteria independently or jointly.
- In some countries like China, USA, South Africa, MSE are divided in to manufacturing, construction, transport, wholesale and retail, and service sectors based on the type of industry.
- As to EU, most countries use uniform definition of MSE for all sectors

The improved definition of MSE from Ethiopian Context

- In our country two different definitions of MSE were used so far i.e. the 1998 definition of MSE development strategy, and definition given by CSA.
- Improved definition for the sector was given based on the gathered **experience, by identifying the gaps of the existing definition of MSE**, including the **size of employee** and by taking **total asset** as criteria and by **dividing it in to industry and service sector**
- Considering the inflation and fluctuation/irregularity of currency.

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- Under micro enterprise level, industry sub-sectors operating with 5 people including the owner and/or their total asset is not exceeding Birr 100,000 (one hundred thousand).
- Under micro enterprise level, service sub-sectors operating with 5 persons including the owner of the enterprise and/or the values of total asset is not exceeding Birr 50,000 (fifty thousand).

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- Under small enterprise level, Industrial sub-sectors operating with 6-30 persons and/or with a paid up capital of total asset Birr 100,000(one hundred thousand) and not exceeding Birr 1.5 million.
- Under small enterprises level, Service sub-sectors operating with 6-30 persons or/and total asset, or a paid up capital is with Birr 50,001 and not exceeding Birr 500,000 are defined officially and used in Ethiopia

Main sectors and sub-sectors that **focus area**

1. Manufacturing sector

- Textile
- Leather
- Food
- Beverage
- Metal works
- Wood works
- Agro-processing

2. Construction

- ✓ Sub-contracting
- ✓ Building materials
- ✓ Traditional mining
- ✓ Cobble stone
- ✓ Infrastructure sub contract
- ✓ Prestigious goods

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3. Trade

- Whole sale
- Retailer
- Raw materials supply

4. service

- ❖ Transport service
- ❖ Café and Restaurants
- ❖ Store service
- ❖ Tourism service
- ❖ Canning/packing
- ❖ Management service
- ❖ Municipality service
- ❖ Product design
- ❖ Maintenance etc.

5. Urban Agriculture

- ✓ Modern livestock raising
- ✓ Bee production
- ✓ Poultry
- ✓ Modern forest development
- ✓ Vegetables and fruits
- ✓ Modern irrigation
- ✓ Animal food processing

2.2.2 Importance(Special Contributions) of Small Businesses

- Although small business pose a **number of challenges to the entrepreneur** and have certain limitations, countries' economy cannot do without them.
- This is because small businesses have special features that **make them superior over large ones** in certain aspects of business activities.

Example of MSE importance

- ❖ Providing Job Opportunities
- ❖ Introducing Innovation
- ❖ Stimulating Economic Competition
- ❖ Aiding big business
 - ✓ **Supply function:** Most small businesses act as suppliers, and sub-contractor for large firms.
 - ✓ **The distribution function:** Few large manufacturers of expensive consumer products find it desirable to own wholesale and retail outlets.
- ❖ Producing Goods and Services

- **Following are the characteristics of small scale business:**
 - ❖ **High Labor Intensity**
 - ❖ **Less Capital Intensive**
 - ❖ **Use of Local Skills and Knowledge**
 - ❖ **Flexibility**
 - ❖ **Entrepreneurial Spirit**
 - ❖ **Use of Indigenous Raw Materials**
 - ❖ **Localized Operation**
 - ❖ **Lesser Gestation Period – earn after a short period of time**
 - ❖ **Workplace Culture – No work specialization**

- A. Employment generation**
- B. Equitable distribution of income**
- C. Mobilization of resources and entrepreneurial skill**
- D. Regional dispersal of industries**
- E. Provides opportunities for development of technology**
- F. Promotes exports**
- G. Supports the growth of large industries**

- MSEs failure attributing by many factors. These are:
 - A. External factors
 - B. Personal (internal) factors

A. External factors

- ✓ Business cycles
- ✓ Fluctuating
- ✓ Interest rate
- ✓ Interrupted supplies
- ✓ Labor market
- ✓ Inflation
- ✓ Government regulations
- ✓ Unstable financial markets

B. Personal (internal) factors

- **Inexperience**
- **Arrogance**
- **Mismanagement**
 - ✓ Over investment on fixed assets
 - ✓ Poor financial and inventory control
 - ✓ Poor business philosophy
 - ✓ Lack of planning

- **Advantages of owning a small business:**
 - i. **Independency**
 - ii. **Financial Opportunity**
 - iii. **Job Security**
 - iv. **Community Service**
 - v. **To Practice Challenge**

- **Disadvantages of owning a small business:**
 - ❖ **Competition**
 - ❖ **Sales Fluctuation**
 - ❖ **Increased Responsibilities**
 - ❖ **Risk of Failure**
 - ❖ **Employee relations**

**What are the problems of
small business in Ethiopia?**

2.7 Problems of Ethiopian Small Businesses

1. Backward attitude
2. Rent seeking to provide institutional support
3. Unfamiliarity with efficient technology
4. Low managerial and technical skill
5. Limited access and limited amount of capital (**Lack of seed money**)
6. Limited market linkage and networks
7. Interrupted supply of key input
8. Lack of persistence

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- 8. Unreasonable investment of scarce finances on fixed assets
- 8. Perception of MSE themselves as reflection of poverty and backwardness
- 8. Waiting government for job and to solve all problems rather than being innovative
- 8. Failure in developing the culture of saving
- 8. Living with one's income/ dependency/

- An entrepreneur needs to take the following steps:

1. Search for Business Idea: The task of promotion begins with the search for a suitable business idea or opportunity.

❖ **Sources of Business ideas**

- Work experience
- Hobbies
- Deliberate search
- Observing the market
- Customers
- Government organizations
- Distribution channels, trade fair and exhibitions and mass medias

2. Idea Processing/ Screening

- Business ideas/opportunities need to be screened and assessed for the viability.

Criteria To Screen Business Ideas Include

- Marketability/demand
- Profitability of the idea if implemented
- Availability of raw materials
- Ease of implementation
- Financial feasibility
- Government support and incentives
- Personal goals and competencies of the entrepreneur

3. Idea selection

- The feasibility report is analyzed to finally choose the most promising idea.

4. Assemble the necessary input requirements

- Assembles the necessary resources to launch the enterprise like:
 - ✓ Choose partners/collaborators
 - ✓ Collect the required finance
 - ✓ Acquire land and buildings
 - ✓ Plant and machinery
 - ✓ Furniture and fixtures

5. Establish the Enterprise

- ❖ The form of ownership is to be decided upon and the company formed and registered.
- ❖ Dealing with various government bodies and other institutions like:
 - ✓ Financial institutions- for finance
 - ✓ Sales tax, Income tax authorities- for respective registration
 - ✓ Licensing authority- for obtaining industrial license

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- ✓ **Municipal Authorities and Electricity- for requisite utilities.**
- ✓ **Directorate of Industries, Municipal Authorities etc. for land, factory and shed etc.**
- ✓ **Ordering machineries from suppliers**
- ✓ **Recruitment of staff**
- ✓ **Arranging supplies of materials**
- ✓ **Arranging for distribution of the product**

Thank you